IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Composite Scheme of Arrangement*

CA(CAA)/47 (CHE)2022

D.K.CAPITAL MARKET PRIVATE LIMITED
A Company incorporated under the Companies Act, 1956
Having Registered office at
New No 4, Club House Road
Anna Salai, Chennai- 600 002

... Applicant Company 1 / Transferor Company-1

And

D.K. SECURITIES PRIVATE LIMITED
A Company incorporated under the Companies Act, 1956
Having Registered office at
5, Adayar Boat Club Road, 1st Street,
Chaimers Road, Chennai- 600 028.

... Applicant Company 2 / Transferor Company-3/ Demerged Company/ Transferee Company (1)

And

RAINBOW LAND DEVELOPERS PRIVATE LIMITED
A Company incorporated under the Companies Act, 1956
Having Registered office at
New No. 4, Old No. 10, Club House Road,
Anna Salai, Chennai- 600 002

... Applicant Company 3 / Resulting Company

And

TAGROS CHEMICALS INDIA PRIVATE LIMITED
A Company incorporated under the Companies Act, 1956

Having Registered office at
New No. 4, Old No. 10, Club House Road,
Anna Salai, Chennai- 600 002.

... Applicant Company 4 / Transferee Company (2)

And

Their Respective Shareholder

Order Pronounced on ***21st July 2022***

CORAM

Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): Pawan Jhabakh, Advocate

ORDER

***Per:* SAMEER KAKAR, MEMBER (TECHNICAL)**

This is a joint Company Application filed by the Applicant Companies, namely **D.K.Capital Market Private Limited** (for brevity *"Applicant Company 1 / Transferor Company-1"*) and **D.K. Securities Private Limited** (for brevity *"Applicant Company 2 / Transferor Company-3/ Demerged Company/ Transferee Company (1)"*) **Rainbow Land Developers Private Limited** (for brevity *Applicant Company 3 / Resulting Company"*) and **Tagros Chemicals India Private Limited** (for brevity *"Applicant Company 4 / Transferee Company (2)"*) under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises,

Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Arrangement (hereinafter referred to as the "SCHEME") proposed by the Applicant Companies. The said Composite Scheme is also appended as "Annexure A2".

2. The Composite Scheme of Arrangement at (Pages 39 to 112 of Volume-1 of the Type Set) provides for the following to take place chronologically;

(i) The Amalgamation of D.K. Capital Market Private Limited and SRB Agencies Private Limited with D.K. Securities Private Limited.

(ii) Subject to satisfactory fulfillment and accomplishment of (i) above, the De merger of Demerged Undertaking (i.e.) leasing business of D.K. Securities Private Limited in to Rainbow Land Developers Private Limited.

(iii) Subject to satisfactory fulfilment and accomplishment of (ii) above. Amalgamation of D.K. Securities Private Limited with Tagros Chemicals India Private Limited and consequent reduction of equity

share capital in Tagros Chemicals India Private Limited, pursuant to the Amalgamation.

3. The said Scheme is also appended as ""Annexure A2" of the Application typeset. The Applicant Companies in this Company Application has sought for the following reliefs:

"A) It is prayed that necessary directions may be given for the dispensation of the convening, holding, and conducting the meeting of the equity shareholders of the Applicant Companies and pass such other order or orders as this Hon'ble Tribunal may deem fit and proper in the circumstances of the case and render justice.

B) It is prayed that necessary directions may be given for dispensing with the convening, holding and conducting of a meeting of the Secured Creditors of the Applicant Company 4 and pass such other order or orders as this Hon'ble Tribunal may deem fit and proper in the circumstances of the case and render justice.

C) It is prayed that necessary directions may be given for holding and conducting of a meeting of the Unsecured Creditors of the Applicant Company 4 and pass such other order or orders as this Hon'ble Tribunal may deem fit and proper in the circumstances of the case and render justice.

D) It is prayed that notices to the statutory authorities may be ordered by this Hon'ble Tribunal as per the provisions of Section 230(5) of the Act and Rule 8 of the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016.

E) It is prayed that this Hon'ble Tribunal fix a date for presentation of the Company Petition and pass such other Order or Orders as this Hon'ble Tribunal may deem fit and proper in the circumstances of the case and render justice."

4. An affidavit in support of the above this present Application sworn for and on behalf of the Applicant Companies are listed hereunder:-

i) Mr. Kamal Kuar Binani on behalf *Applicant Company 1 / Transferor Company-1 and Applicant Company 3 / Resulting Company* in the capacity of the authorized signatory.

ii) Mr. V. Sundar on behalf *Applicant Company 2 / Transferor Company-3/Demerged Company/ Transferee Company (1)* in the capacity of the authorized signatory.

iii) Mr. S. Balasundharam on behalf *Applicant Company 4 / Transferee Company (2) in* the capacity of the authorized signatory.

and it is also represented that the Registered offices of all the Applicant Companies are situated within the territorial jurisdiction of the Bench of this Tribunal and falling within the purview of Registrar of Companies, Chennai.

5. It is averred in the Application that Transferor Company 2 viz., SRB Agencies Private Limited having registered office in the State of West Bengal has filed a separate Application before the NCLT, Kolkata Bench.

6. D.K. Capital Market Private Limited
[Applicant Company-1 / Transferor Company-1]

(i) There are **4 (Four)** Equity Shareholders and list of shareholders to this effect is placed at **Page Nos 435** of the typed set filed with the application and the respective consent Affidavits received from the Equity Shareholders are placed as **Page No 436- 454** of the Application typeset and has sought dispensation of meeting.

(ii) There is **NIL** Secured Creditor and the certificate issued by the Chartered Accountant to this effect is placed at **Page No. 509** of the typed set filed along with the application. Hence the necessity of Convening, holding and conducting the meeting *does not arise.*

(iii) There are **NIL** Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at **Page Nos. 509** of the typed set filed with the application. Hence the necessity of Convening, holding and conducting the meeting *does not arise.*

7. D.K. Securities Private Limited
[Applicant Company 2 / Transferor Company-3/ Demerged Company/ Transferee Company (1)]

(i) There are **4 (Four)** Equity Shareholders and list of shareholders to this effect is placed at **Page No 455** of the typed set filed with the application and consent by way of Affidavit given by all the Equity Shareholders is placed at **Page Nos.456 to 475** and sought for dispensation with holding of meeting.

(ii) There is **NIL** Secured Creditor and the certificate issued by the Chartered Accountant to this effect is placed at **Page No. 510** of the typed set filed along with the application. Hence the necessity of Convening, holding and conducting the meeting *does not arise.*

(iii) There are **NIL** Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at **Page Nos. 510** of the typed set filed with the application. Hence the necessity of Convening, holding and conducting the meeting *does not arise*.

8. Rainbow Land Developers Private Limited
[Applicant Company 3 / Resulting Company]

(i) There are **2 (two)** Equity Shareholders and list of shareholders to this effect is placed at **Page Nos.476** of the typed set filed with the application and consent by way of Affidavit given by all the Equity Shareholders is placed at **Page Nos.477 to 482** and sought for dispensation with holding of meeting.

(ii) There is **NIL** Secured Creditor and the certificate issued by the Chartered Accountant to this effect is placed at **Page No. 511** of the typed set filed along with the application. Hence the necessity of convening, holding and conducting the meeting does not arise.

(iii) There are **NIL** Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at **Page Nos. 511** of the typed set filed with the application. Hence the necessity of Convening, holding and conducting the meeting *does not arise.*

9. Targos Chemicals India Private Limited
[Applicant Company 4 / Transferee Company (2)]

(i) There are **7 (Seven)** Equity Shareholders and list of shareholders to this effect is placed at **Page Nos.483** and consent by way of Affidavit given by all the Equity Shareholders is placed at **Page Nos.484 to 508** and sought for dispensation with holding of meeting.

(ii) There is **3 (Three)** Secured Creditor and the certificate issued by the Chartered Accountant to this effect is placed at **Page No. 512** of the typed set filed along with the application and consent by way of Affidavit given by all the secured creditors is placed at **Page Nos.514-574** and sought for dispensation with holding of meeting.

(iii) There are **550 (Five Hundred and Fifty)** Unsecured Creditors and the certificate issued by the Chartered Accountants to this effect is placed at **Page Nos. 548 to 559** of the typed set filed with the application and

sought for convening, holding and conducting of the meeting.

10. We have perused the applications and the connected documents / papers filed therewith including the Scheme contemplated between the Applicant companies.

11. From the certificate of incorporation filed, it is evident that **D.K.Capital Market Private Limited** a private Limited company was incorporated under the provisions of Companies Act, 1956 on 06.08.1983. The Authorized Share Capital of the Applicant Company 1 / Transferor Company-1 as on 31.03.2021 as follows:

PARTICLULARS	AMOUNT IN RS.
AUTHORISED CAPITAL 2,50,000 equity shares of Rs.10 each	25,00,000
TOTAL	25,00,000
ISSUED, SUBSCRIBED AND PAID UP CAPITAL 2,17,800 equity shares of Rs.10 each	21,78,000
TOTAL	21,78,000

12. From the certificate of incorporation filed, it is evident that **D.K. Securities Private Limited** a private Limited company was incorporated under the provisions of Companies Act, 1956 on 07.09.1993. The Authorized Share Capital of the Applicant Company 2 /Transferor Company-3/ Demerged Company/ Transferee Company (1) as on 31.03.2021 as follows:

PARTICLULARS	AMOUNT IN RS.
AUTHORISED CAPITAL	
5,00,000 equity shares of Rs.10 each	50,00,000
TOTAL	**10,00,000**
ISSUED, SUBSCRIBED AND PAID UP CAPITAL	
4,42,220 equity shares of Rs.10 each	44,42,200
TOTAL	**44,42,200**

13. From the certificate of incorporation filed, it is evident that **Rainbow Land Developers Private Limited** is private Limited company incorporated on 05.08.2004 under the Companies Act, 1956. The Authorized Share Capital of the *Applicant Company 3 / Resulting Company* as on 31.03.2021 as follows:

PARTICLULARS	AMOUNT IN RS.
AUTHORISED CAPITAL	
1,00,000 equity shares of Rs.10 each	10,00,000
TOTAL	**10,00,000**
ISSUED, SUBSCRIBED AND PAID UP CAPITAL	
10,000 equity shares of Rs.10 each	1,00,000
TOTAL	1,00,000

14. From the certificate of incorporation filed, that the **Tagros Chemicals India Private Limited** is a private limited company incorporated under the Companies Act, 1956 on 30.12.1992. The Authorized Share Capital of the Applicant Company 4 / Transferee Company (2) as on 31.03.2021 as follows:

PARTICLULARS	AMOUNT IN RS.
AUTHORISED CAPITAL 13,40,000 equity shares of Rs.10 each	1,34,00,000
TOTAL	**1,34,00,000**
ISSUED, SUBSCRIBED AND PAID UP CAPITAL 13,32,740 equity shares of Rs.10 each	1,33,27,400
TOTAL	1,33,27,400

15. The Applicant companies have filed their respective Memorandum and Articles of Association inter alia delineating their object clauses. The Applicant Companies have filed their last available Audited Financial Statements for the year ended as on 31.03.2021 and the unaudited financial statements as on 31.12.2021.

16. The Board of Directors of the Applicant Companies vide meetings held on 29.03.2022 have unanimously approved the proposed Scheme as contemplated above and copies of resolutions passed thereon have been placed on record by the companies.

17. The Appointed date as specified in the Scheme is 01.10.2021.

18. The Statutory Auditors of all the Applicant Companies have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified

that the Accounting Standards is in compliance with Section 1 33 of the Companies Act, 2013.

19. Taking into consideration the application filed by the Applicant Companies and the documents filed therewith this Tribunal issues the following directions: -

A) IN RELATION TO THE *Applicant Company 1 / Transferor Company-1* :

(i) **With respect to Equity shareholders:**

Since it is represented by the *Applicant Company 1 / Transferor Company-1* that there are **4 (Four)** Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

(ii) **With respect to Secured Creditors:**

Since it is represented by the *Applicant Company 1 / Transferor Company-1* that there is **NIL** Secured Creditor in the Company, hence the necessity of Convening, holding and conducting a meeting *does not arise.*

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the *Applicant Company 1 / Transferor Company-1* that there is **NIL** Unsecured Creditor in the Company, hence the necessity of Convening, holding and conducting a meeting *does not arise.*

B) IN RELATION TO THE *Applicant Company 2 / Transferor Company-3/ Demerged Company/ Transferee Company (1)*:

(i) **With respect to Equity shareholders:**

Since it is represented by the *Applicant Company 2 / Transferor Company-3/ Demerged Company/ Transferee Company (1)* that there are **4 (Four)** Equity shareholders in the Company whose consents by way of affidavits have been obtained and are placed on record, the necessity of convening and holding a meeting to consider and if thought fit, the approval of the scheme is ***dispensed with***.

(ii) **With respect to Secured Creditors:**

Since it is represented by the *Applicant Company 2 / Transferor Company-3/ Demerged Company/ Transferee Company (1)* that there are **NIL** Secured Creditors in the Company hence the necessity of Convening, holding and conducting a meeting *does not arise.*

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the *Applicant Company 2 / Transferor Company-3/ Demerged Company/ Transferee Company (1)* that there are **NIL** Unsecured Creditors in the

Company hence the necessity of Convening, holding and conducting a meeting *does not arise.*

C) IN RELATION TO THE *Applicant Company 3 / Resulting Company*:

(i) **With respect to Equity shareholders:**

Since it is represented by the *Applicant Company 3 / Resulting Company* that there are **2 (two)** Equity shareholders in the Company whose consents by way of affidavits have been obtained and are placed on record, the necessity of convening and holding a meeting to consider and if thought fit, the approval of the scheme is ***dispensed with***.

(ii) **With respect to Secured Creditors:**

Since it is represented by the *Applicant Company 3 / Resulting Company* that there are **NIL** Secured Creditors in the Company hence the necessity of Convening, holding and conducting a meeting *does not arise.*

(iii) **With respect to Unsecured Creditors:**

Since it is represented by the *Applicant Company 3 / Resulting Company* that there are **NIL** Unsecured Creditors in the Company hence the necessity of Convening, holding and conducting a meeting *does not arise.*

D) IN RELATION TO THE *Applicant Company 4 / Transferee Company (2)*:

(i) **With respect to Equity shareholders:**

Since it is represented by the *Applicant Company 4 / Transferee Company (2)* that there are **7 (Seven)** Equity shareholders in the Company whose consents by way of affidavits have been obtained and are placed on record, the necessity of convening and holding a meeting to consider and if thought fit, the approval of the scheme is ***dispensed with***.

(ii) **With respect to Secured Creditors:**

Since it is represented by the Applicant Company 4 / Transferee Company (2) that there are **3 (Three)** secured creditors in the Company whose consents by way of affidavits have been obtained and are placed on record, the necessity of convening and holding a meeting to consider and if thought fit, the approval of the scheme is dispensed with.

(iii) **With respect to Unsecured Creditors:**

Meeting of the Unsecured Creditors of the *Applicant Company 4 / Transferee Company (2)* is directed to be held at **4:30 PM** on **24.09.2022** at the registered office of the *Applicant Company 4 / Transferee Company (2)* or if not convenient at any other suitable place for which prior approval shall be

sought from this Tribunal within a period of 7 days from the date of this order and prior to the issue of notices.

20. The quorum for the meetings of the *Applicant Company 4 / Transferee Company (2)* shall be as follows;

S.No	CLASS	QUORUM
1.	UNSECURED CREDITORS	50

i) The Chairperson appointed for the above said meeting shall be **Mr. V. Kailasam , Sr. VP-Finance** failing him Mr. P Gopalakrishnan Chief Financial Officer.

ii) **Mr. Inbaraju (Mobile: 98424 14509)** is appointed as a Scrutinizer and would be entitled to fee of **Rs.40,000/-** for services in addition to meeting incidental expenses. The Chairperson(s) will file the reports of the meeting within a week from the date of holding of the above said meetings.

iii) In case the quorum as noted above, for the above meeting of the Applicant Companies is not present at the meeting, then the meeting shall be adjourned by half an hour, and thereafter the person(s) present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting, is filed with the registered office of the applicant companies at least 48 hours before the meeting. The Chairperson and Alternate Chairperson appointed herein

along with Scrutinizer shall ensure that the proxy registers are properly maintained. However, every endeavour should be made by the applicant companies to attain at least the quorum fixed, if not more in relation to approval of the scheme.

iv) The meetings shall be conducted as per applicable procedure prescribed under the MCA Circular MCA General Circular Nos. (i) 20/2020 dated 5th May, 2020 (AGM Circular), (ii) 14/2020, dated 08.04.2020 (EGM Circular-I) and (iii) 17/2020 dated 13.04.2020 (EGM Circular-II);

v) That individual notices of the above said meetings shall be sent by the Applicant Company through registered post or speed post or through courier or e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, the place and the time as aforesaid, together with a copy of Scheme, copy of explanatory statement, required to be sent under the Companies Act, 2013 and the prescribed form of proxy shall also be sent along and in addition to the above any other documents as may be prescribed under the Act or rules may also be duly sent with the notice.

vi) That the Applicant Company shall publish advertisement with a gap of atleast 30 clear days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in the English Daily "*Business Standard*"(All India Edition), and "*Makkal Kural*" *Tamil* (Tamil Nadu Edition) in Vernacular stating the copies of Scheme, the Explanatory Statement required to be

furnished pursuant to Section 230 of the Companies Act, 2013 and the form of proxy shall be provided free of charge at the registered office of the respective Applicant Companies.

vii) The Chairperson shall as aforestated be responsible to report the result of the meeting within a period of 3 days of the conclusion of the meeting with details of voting on the proposed scheme.

viii) The companies shall individually send notice to concerned Regional Director, MCA, Registrar of Companies Chennai, Official Liquidator, The Reserve Bank of India and the Income Tax Authorities, as well as other Sectoral regulators who may have significant bearing on the operation of the applicant companies or the Scheme *per se* along with copy of required documents and disclosures required under the provisions of Companies Act, 2013 read with Companies (Compromises, Arrangements, Amalgamations) Rules, 2016.

ix) The applicant companies shall further furnish copy of the Scheme free of charge within 1 day of any requisition for the Scheme made by every creditor or member of the applicant companies entitled to attend the meetings as aforesaid.

x) The Authorized Representative of the Applicant Companies shall furnish an affidavit of service of notice of meetings and publication of advertisement and compliance of all

directions contained herein at least a week before the proposed meetings.

xi) All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Applicants.

21. The Applications stand **allowed** on the aforesaid terms.

- Sd -

SAMEER KAKAR
MEMBER (TECHNICAL)

- Sd -

Justice (Retd) S. RAMATHILAGAM
MEMBER (JUDICIAL)

Vinita Varshini